

Paradiem

The Morning Brief

JUNE 7, 2026

Weekend Watch

Hormuz weekend escalations and a still-stalled Iran track set the Monday backdrop as WWDC, May CPI, and Oracle/Adobe earnings frame the week ahead.

S&P 500 (FRI CLOSE)	NASDAQ (FRI CLOSE)	BRENT (FRI CLOSE)	BITCOIN (LIVE)	FEAR & GREED (CNN)
\$737.55 · Down on the week	\$705.06 · Down sharply on the week	\$51.20 · Mixed weekly amid Hormuz	~\$60K–\$61K per CoinDesk	42 · Fear (per CNN, Jun 5)

SECTION 01

Markets — Week in Review

THE WEEK CLOSED WITH FRIDAY’S UPSIDE PAYROLLS SURPRISE MATERIALLY RESETTING THE RATE-PATH CONVERSATION — THE NASDAQ PROXY LOGGED ITS SHARPEST SINGLE-SESSION DECLINE SINCE APRIL 2025 PER THESTREET, THE AI SUPPLIER COMPLEX DE-RATED ACROSS THE BOARD, AND DEFENSIVES CARRIED THE LONE GREEN SECTOR TALLIES

Per BLS and CNBC reporting Friday, May nonfarm payrolls printed ↑172K against the 85K Reuters consensus, unemployment held at 4.3% for a third consecutive month, and prior-month revisions added 93K combined jobs. Per CNBC, the print pushed the 10-year yield approximately 5 basis points higher to 4.534% on the session and broke the “hot growth, cooling labor” framing that had governed the preceding setup. Per CME FedWatch coverage cited across multiple outlets, the June 16–17 FOMC is now priced near 98.7% hold with September carrying the remaining cut probability, and per TradingKey coverage market-implied odds for zero rate cuts across 2026 sit near 75%. The cash-session reaction concentrated in AI suppliers and at-multiple semis, with defensives (Staples, Utilities, Real Estate, Healthcare, Financials) the lone green sectors per the data drop and Tech the only sector with a six-handle decline.

MAY NONFARM PAYROLLS	↑172K vs 85K est per BLS/CNBC
UNEMPLOYMENT RATE	4.3% · Held 3rd month per BLS
10-YR YIELD (FRI)	~4.534% · ↑~5 bps per CNBC
JUNE FOMC HOLD ODDS	~98.7% per CME FedWatch coverage
2026 ZERO-CUT PROBABILITY	~75% per TradingKey coverage
BITCOIN (SUN, LIVE)	~\$60K–\$61K per CoinDesk
SPOT BTC ETF OUTFLOWS	~\$4.3B over 13 sessions per BelnCrypto/Coinfomania
CARSON’S ACTIVE LEVEL	SPY \$645.80 support · Untouched

CHAIR KEVIN WARSH’S DEBUT FOMC MEETING ON JUNE 16–17 PER THE FEDERAL RESERVE’S PUBLISHED CALENDAR NOW

SITS AGAINST A TAPE WHERE CUT EXPECTATIONS HAVE MATERIALLY COMPRESSED AND THE FORWARD-GUIDE CADENCE HAS BECOME THE BINDING CONSTRAINT ACROSS THE PREMIUM-MULTIPLE SUPPLIER BASE — MAY CPI WEDNESDAY JUNE 10 PER THE BLS RELEASE SCHEDULE CARRIES OUTSIZED WEIGHT AS THE FINAL PRE-FOMC INFLATION READ

Per the Federal Reserve’s published FOMC calendar, the June 16–17 meeting is Chair Warsh’s debut press conference with an updated Summary of Economic Projections and dot plot, against a tape that has compressed cut expectations for the remainder of 2026. Per the BLS release schedule, May CPI prints Wednesday June 10 at 7:30 AM CT — a print consistent with the Beige Book’s flagged inflation pickup would

reinforce Friday's yield move; a softer print would partially counterweight the labor strength. The crypto de-rating extended through the weekend with Bitcoin holding the \$60K–\$61K corridor per CoinDesk and CoinGecko live pricing, against approximately \$4.3B in cumulative spot

Bitcoin ETF outflows over a 13-session run per BeInCrypto and Coinfomania coverage. FCI's positioning sits against an institutional re-pricing and a rate-path reset rather than a thesis break across the digital, AI-supplier, and dividend sleeves.

A week that closed with the AI supplier complex de-rated materially on an upside payrolls surprise, gold and silver de-rated in lockstep with tech, and the dividend backbone carrying the lone green tally is a clean reminder that owning durable cash flows is what compounds through rate-path resets.

Avoid Erosion.

Geopolitics

THE IRAN/HORMUZ TRACK EXTENDED THROUGH THE WEEKEND WITH THE ISRAELI MILITARY INTERCEPTING TWO PROJECTILES FROM LEBANON PER REUTERS, AN ISRAELI STRIKE KILLING THREE LEBANESE SOLDIERS PER REUTERS, AND ROSNEFT CEO IGOR SECHIN PER REUTERS AND CNBC COVERAGE SATURDAY CHARACTERIZING US ENERGY FIRMS AS THE PRINCIPAL BENEFICIARIES OF THE STRAIT OF HORMUZ CLOSURE — THE STRAIT HAS REMAINED SUBSTANTIVELY CONSTRAINED SINCE IRAN'S MARCH 4 DECLARATION PER WIKIPEDIA AND HOUSE OF COMMONS LIBRARY COVERAGE

Per Reuters reporting Sunday, the Israeli military intercepted two projectiles that crossed from Lebanon, while a separate Israeli strike killed three Lebanese soldiers in an incident the military is reviewing — both events materially complicate the implementation framework Israel and Lebanon agreed to earlier in the week per the joint US-mediated statement covered by Al Jazeera, NPR, and the Washington Post. Per NPR and AFP coverage, Hezbollah leader Naim Qassem has continued to reject the implementation terms as effectively a surrender, and per Al Jazeera reporting, Iran has threatened to withdraw from the parallel US bilateral track if Israeli strikes on Beirut continue. Per Reuters and CNBC Saturday, Rosneft CEO Igor Sechin argued US energy companies have been the principal beneficiaries of the Strait of Hormuz closure, characterizing the dynamic as one that affords US producers non-competitive advantages on high-cost supplies — the comment landed against an oil tape that has held a structural Brent premium per Capital.com and Bloomberg Iran-war Hormuz coverage. Separately per Reuters Sunday, US Special Envoy Steve Witkoff and Jared Kushner continued the technical track on nuclear material at a Tennessee national laboratory, suggesting back-channel engagement has not been abandoned despite the kinetic activity. The tracks remain scheduled to reconvene the week of June 22 per prior State Department communication.

SECHIN ALSO ARGUED SATURDAY PER REUTERS AND CNBC THAT SUSTAINED HORMUZ DISRUPTION COULD ULTIMATELY UNDERMINE LONG-TERM OIL DEMAND AND RENEW INTEREST IN ALTERNATIVE ENERGY — THE FRAMING READS AS A REMINDER THAT A PROLONGED-DISRUPTION SCENARIO COMPOUNDS STRUCTURAL DEMAND DESTRUCTION RISK EVEN AS NEAR-TERM SUPPLY TIGHTNESS SUSTAINS THE PREMIUM, A POSITION ALREADY REFLECTED IN THE OECD'S JUNE 2026 ADVERSE-CASE OUTLOOK

Per Reuters and CNBC coverage Saturday, Sechin's broader argument framed sustained Hormuz disruption as ultimately erosive to long-term oil demand and as a potential catalyst for renewed alternative-energy investment — a position consistent with the European Commission's prior-week estimate per Reuters that approximately 1.3 million European jobs could be lost on sustained energy-price pass-through. Per Reuters Sunday, US officials have also begun to discuss Iranian assets as a source of reconstruction financing for Gulf allies impacted by the conflict, a posture that hardens the structural cost picture. Per Reuters separately, Embraer noted airlines have begun deferring jet purchase decisions on the Iran war backdrop, and the IATA VP per Reuters warned Middle Eastern carriers face material costs in deferring orders — the

demand-side spillover the OECD's adverse case has flagged is now manifesting in transport-equipment order timing. For FCI energy and defense exposure, the sleeve remains positioned to capture either a normalization scenario or a prolonged-disruption scenario through durable cash flows.

The physical world matters.

LEBANON PROJECTILES (SUN)	Two intercepted by IDF per Reuters
ISRAELI STRIKE (SUN)	3 Lebanese soldiers killed per Reuters
SECHIN/ROSNEFT (SAT)	US firms benefit from Hormuz per Reuters/CNBC
WITKOFF/KUSHNER TRACK	Tennessee nuclear lab meeting per Reuters
HEZBOLLAH POSITION	Rejection of ceasefire terms per AFP/NPR
TRACKS RECONVENE	Week of June 22 per State Dept
BRENT (FRI)	\$51.20 · Compressed Friday on broad risk-off
EU JOB LOSS ESTIMATE	~1.3M per European Commission/Reuters

On Our Radar

1. Week Ahead — Apple’s WWDC 2026 Keynote Opens Monday June 8 at 12:00 PM CT per Apple Developer, May CPI Prints Wednesday June 10 at 7:30 AM CT per the BLS Release Schedule, Oracle Reports After the Wednesday Close per Its Investor Relations Schedule, and Adobe Reports After the Thursday Close per Adobe’s IR Calendar. Per Macworld, Newsweek, and TradingKey coverage, the WWDC keynote is expected to center on Apple Intelligence advancement and an upgraded Siri, with iOS 27 framed as a stability-focused release. Per Stocktitan and Oracle’s IR release, Oracle’s Q4 FY2026 results land June 10 after the close with a conference call at 4:00 PM CT; per SeekingAlpha and Yahoo coverage, consensus sits near \$1.96 EPS on \$19.1B revenue (↑20.1% YoY). Per Yahoo coverage, Adobe’s fiscal Q2 consensus sits near \$5.83 EPS. May PPI follows Thursday June 11 per BLS. Per CNBC and TradingKey coverage, the May CPI print now carries outsized weight against the June 16–17 FOMC. *Avoid Erosion.*

2. The AI Supplier De-Rating Friday per the Data Drop and TheStreet Coverage Generalized the AVGO and CRDO Post-Print Templates Across the Premium-Multiple Supplier Base — the Read-Through Into Monday Is That Forward Guidance Cadence Has Become the Binding Constraint Across At-Multiple Names, Even as Underlying Hyperscaler Capex Commentary Has Not Changed. Per the data drop and Yahoo coverage Friday, MRVL’s pending addition to the S&P 500 was overwhelmed by the macro-driven repricing — the index-inclusion flow story that would normally drive demand was insufficient against the rate-path reset. For FCI, the structural demand thesis across the supplier-side AI complex remains intact, while at-multiple valuation sensitivity has become the binding near-term risk; the forward-guide cadence has demonstrably become the dominant factor and remains the key item to track as positioning resets. *Research Reveals Opportunities.*

3. The Bitcoin Spot ETF Outflow Streak Reached Approximately \$4.3B Across 13 Consecutive Sessions per BeInCrypto and Coinfomania Coverage — per Their Reporting, the Longest Cumulative Outflow Run Since the Products Launched in January 2024 — With Bitcoin Holding \$60K–\$61K per CoinDesk and CoinGecko

Through the Weekend. Per Investing.com and Yahoo coverage, the outflow dynamic ties to the rate-path reset and the Fed's prior removal of language about progress toward the 2% inflation target. Per the data drop, ETHA carried a materially larger Friday drawdown versus IBIT, an asymmetry that warrants continued monitoring. Per Benzinga, HUT's \$4.25B senior secured notes offering for a 352-megawatt Texas data center underscores the persistent capex commitments in the AI-data-center-adjacent business even as the crypto-equity sleeve has compressed. FCI's IBIT and ETHA positions sit against a positioning unwind rather than a thesis break. *Simplicity Over Complexity.*

4. Carson's Active SPY \$645.80 Support Remained Untouched per the Data Drop — the Level Sits Approximately 12.4% Below Friday's Close and Remains the Committee's Framework for a Sustained Retracement Scenario, With Wednesday's May CPI as the Binding Near-Term Catalyst.

The Fear & Greed reading at 42 (Fear) per CNN sits notably above the data drop's 12 Extreme Fear value (which reflects the crypto F&G fallback, not the CNN stock-market gauge); historically, CNN F&G in the 35–50 range tends to coincide with sentiment that has not yet capitulated even as price has moved meaningfully. Per Reuters Sunday, US discussion of Iranian assets for Gulf reconstruction reinforces the prolonged-disruption framing already reflected in the OECD's adverse-case outlook; per Embraer and IATA commentary cited by Reuters, the demand-side spillover is now appearing in commercial-aviation order timing. Wednesday's CPI release per BLS and Chair Warsh's June 16–17 FOMC debut per the Federal Reserve calendar remain the dominant macro catalysts framing whether the Friday repricing extends or partially reverses. *Think Like an Owner.*

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